BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH, NEW DELHI

Company Petition CAA – 47(PB)/2018

Connected with

CA (CAA) -50(PB)/2018

Order Pronounced on: 06.06.2018

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR

HON'BLE PRESIDENT

&

SHRI S.K. MOHAPATRA

MEMBER (TECHNICAL)

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013:

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

NIRVAN CLOTHING COMPANY PRIVATE LIMITED

(PETITIONER/TRANSFEROR COMPANY NO. 1)

AND

MIKASA ENTERPRISES PRIVATE LIMITED

(PETITIONER/TRANSFEROR COMPANY NO. 2)

AND

RICHA GLOBAL EXPORTS PRIVATE LIMITED

(PETITIONER/ TRANSFEREE COMPANY)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

For the Applicants: **Ms. Malini Sud, Advocate**
Mr. Vikas Mishra, Advocate
Mr. Shashwat Tripathi, Advocate

MEMO OF PARTIES:

NIRVAN CLOTHING COMPANY PRIVATE LIMITED
A Company incorporated under Companies Act, 1956
Having its registered office at:
A-41, Mayapuri Industrial Area, Phase – I,
New Delhi - 110064

.... PETITIONER No.1/TRANSFEROR COMPANY NO.1

MIKASA ENTERPRISES PRIVATE LIMITED

A Company incorporated under Companies Act,1956
Having its registered office at:
A-41, Mayapuri Industrial Area, Phase – I,
New Delhi - 110064

....PETITIONER No.2/TRANSFEROR COMPANY NO.2

RICHA GLOBAL EXPORTS PRIVATE LIMITED
A Company incorporated under Companies Act,1956
Having its registered office at:
A-41, Mayapuri Industrial Area, Phase – I,
New Delhi - 110064

....PETITIONER No.3/TRANSFEREE COMPANY

ORDER

M.M.KUMAR, PRESIDENT

1. This is a second motion Petition which has come up before us for admission and for fixing a date of hearing of the main Company Petition as well as for issuance of direction concerning publication of notices in press to be carried and notices to be issued to the authorities concerned including regulators if any. The prayer is also for calling of objections, if

any, to the Scheme of Amalgamation (hereinafter for brevity referred to as "SCHEME") amongst the Petitioner Companies.

2. From the records, it is seen that the First Motion application no. CA (CAA) No.-50(PB)/2018 seeking direction for dispensing with the meetings of Shareholders and Creditors of the Petitioner Company No.1 and Petitioner Company No.2, dispensing the meetings of Equity Shareholders of the Petitioner/Transferee Company and convening of the meetings of the secured and unsecured creditors of the Petitioner/Transferee Company under Sections 230-232 of the Companies Act, 2013 was filed before this Tribunal. The meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company No.1 and Petitioner Company No.2 and the Equity Shareholders of the Petitioner/Transferee Company were dispensed with and directions were issued to conduct the meeting of the secured and unsecured creditors of the Petitioner/Transferee Company vide order dated 01.06.2017 passed by this Tribunal. In compliance with the directions issued by this Tribunal, the meetings of the

unsecured creditors were duly held but the meetings of the secured creditors could not be convened and the detailed reasons are as under:

Meeting of	**Chairperson**	**Date of meeting**	**Chair-person report dated**
1.Secured Creditors Transferee Company	Mr. Justice (Rtd.) Umanath Singh	21.07.2017 Could not be convened.	01.08.2017
2.Unsecured Creditors of Transferee Company	Mr. Justice (Rtd.) Umanath Singh	21.07.2017	01.08.2017

The Chairperson submitted his report before this Hon'ble Tribunal on 01.08.2017, wherein it was stated that the unsecured creditors unanimously voted in the favour of the Scheme of Amalgamation. The meeting of Secured Creditors of the Transferee Company could not be conducted successfully on account of some irregularities or lack of

authority letter issued in favour of HDFC Bank, who is one of the secured creditors.

3. Thereafter, the Transferee Company was able to obtain consent of the Secured Creditors by way of affidavits dated 16.09.2017 and 07.09.2017 constituting more than 90% in value, approving the Scheme. Pursuant to this the Petitioners filed a joint application being C.A. No. 380(PB)/2017 in the main Company Application being CA (CAA)-50(PB)/2017 seeking for the modification of the Order dated 01.06.2017 to the extent that the said order include a direction for dispensing with the requirement of convening, holding and conducting the meeting of Secured Creditors of the Transferee Company. However, this Tribunal vide its Order dated 03.11.2017 dismissed the application being C.A.No.-384(PB)/2017 and Company Application being CA (CAA)-50(PB)/2017, with the liberty to modify the Scheme and re-start the process by filing a fresh Application.

4. Subsequently, the Petitioners filed an Appeal being Company Appeal (AT) No. 390 of 2017, before the National Company

Law Appellate Tribunal, challenging the Order dated 03.11.2017 passed by this Tribunal. The Hon'ble NCLAT allowed the said Appeal vide its Order dated 19.03.2018 and passed the following directions:

(i) *The impugned order is quashed and set aside. The matter is remitted back to the learned NCLT. CA no. 384(PB)/2017 and CA(CAA)-50(PB)/2017 are restored to the file of NCLT, New Delhi.*

(ii) *The learned NCLT should give opportunity to the appellants/applicants to include pleadings and alternative prayer in the first motion application CA (CAA) no. 50(PB)/2017 requesting for dispensing with calling of meeting of Secured Creditors.*

(iii) *The learned NCLT should give opportunity to the appellants/applicants to include pleadings and alternative prayer in CA no. 384(PB)/2017 to request for reconvening of meeting of Secured Creditors.*

(iv) *After the appellants/applicants are allowed to amend their pleadings, the learned NCLT*

should give the appellants/original applicants another opportunity of hearing and may then pass any suitable orders deemed fit.

5. In view of the aforesaid directions, the Petitioners had filed an application for the amendment of the Company Application being CA(CAA)-50(PB)/2017 as well as an Application for amendment of Joint Application being C.A. No. 384(PB)/2017 before this Tribunal. On perusal of the averments made in the amended application, it was found that there are four secured creditors out of which Syndicate Bank constitutes 86.92% of the total amount and the HDFC Bank constitutes 12.08%. Consent by way of Affidavits by the secured creditors namely Syndicate Bank and HDFC Bank for dispensing with the holding of the meeting of the secured creditors have been filed constituting more than 98% of the total worth of secured creditors. As the requirement of dispensing with the convening of meeting has been met, thereof this Tribunal dispensed with the requirement of holding of meeting of the secured creditors in respect of

Transferee/Petitioner Company No.3 vide Order dated 20.04.2018.

6. Subsequently the proceedings with regard to First Motion were concluded and now, this petition for second motion has been filed under the provisions of Sections 230-232 of the Companies Act,2013 read with Rule 16 of the Companies (Compromise, Arrangements, Amalgamation) Rules,2016 brought into effect on and from 15.12.2016, it is hereby ordered as follows:

(i) The date of hearing of the Joint Petition filed by the Petitioner for the approval of the Scheme is fixed on 09.08.2018.

(ii) Notice of hearing shall be advertised in the newspapers namely, The "Indian Express"(English, Delhi edition) and "Jansatta" in Vernacular (Hindi, Delhi edition) not less than 10 days before the aforesaid date fixed for hearing.

(iii) In addition to the public notice, each of the Applicants shall serve the notice of the Petition on the following Authorities namely, (a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; (b) Registrar of Companies, NCT of Delhi & Haryana, Ministry of Corporate Affairs; (c) the Income Tax Department, along with full details of assessing officer and PAN Card numbers of the companies; (d) Official Liquidator; and to such other Sectoral Regulatory Authorities who may govern the working of the respective companies involved in the Scheme at least 30 days before the date fixed for hearing of the above Petition.

(iv) Further, notices shall also be served to Objector(s) or to their representative, if any, as contemplated under Sub-Section (4) of Section 230 of the Act who may have made representation and who have desired to be heard in their representation along with a copy of the Petition and the Annexure filed

therewith at least 15 days before the date fixed for hearing.

(v) All the Petitioners shall at least 7 days before the date of hearing of the Petition file an affidavit of service in relation to paper publication effected as well as service of notices on the Authorities specified above including the Sectoral regulator as well as to Objectors, if any.

(vi) Objection to the Scheme, if any, contemplated by the authorities to whom notices have been given on or before the date fixed for hearing may be filed, failing which it will be considered that there is no objection to the approval of the Scheme on the part of the authorities and subject to other conditions being satisfied as may be applicable under the Companies Act, 2013 and relevant rules framed there under.

(vii) The Petitioner Companies shall individually comply with proviso to sub section (3) of Section 232 or proviso to sub section (7) of Section 230, of the Act, 2013, as may be applicable under the circumstances on or before the date fixed for hearing by filing the certificate of Company's auditor.

(viii) The next date of hearing of the Petition shall be on 09.08.2018 for consideration of the approval of the Scheme as contemplated between the Petitioner Companies.

Sd/-

(M.M. KUMAR)
PRESIDENT

Sd/-

(S.K. MOHAPATRA)
MEMBER (TECHNICAL)

06.06.2018
(VIDYA)